INTRODUCTION

Earlier lessons described how derivatives expand the set of opportunities available to market participants to create or modify exposure or to hedge the price of an underlying. This learning module describes the benefits and risks of using derivatives and compares their use among issuers and investors.

Learning Module Overview

- Derivatives allow market participants to allocate, manage, or trade exposure without exchanging an underlying in the cash market.
- Derivatives also offer greater operational and market efficiency than cash markets and allow users to create exposures unavailable in cash markets.
- Derivative instruments can involve risks such as a high degree of implicit leverage and less transparency in some cases than cash instruments, as well as basis, liquidity, and counterparty credit risks. Excessive risk taking in the past by market participants through the use of derivatives has contributed to market destabilization and systemic risk.
- Issuers typically use derivative instruments to offset or hedge market-based underlying exposures that impact their assets, liabilities, and earnings.
- Issuers usually seek hedge accounting treatment for derivatives to minimize income statement and cash flow volatility.
- Investors use derivatives to modify investment portfolio cash flows, replicate investment strategy returns in cash markets, and/or create exposures unavailable to cash market participants.

Learning Module Self-Assessment

These initial questions are intended to help you gauge your current level of understanding of this learning module.

1. Which of the following statements does **not** describe a likely operational advantage of a futures market transaction as compared to a cash market transaction?

   A. It is easier to take a short position in the futures market than in the cash market.
   B. There is greater liquidity in the futures market than in the cash market.
   C. Cash requirements to buy in the cash market are lower than margin requirements to buy in the futures market.

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   Solution:

   C is correct. The opposite is true: Margin requirements of a futures contract are typically only a small percentage of the cash requirement to buy the same amount of underlying in the cash market. A and B are both incorrect because both of these statements describe operational advantages of futures markets over cash markets.

A. Basis risk	1. Potential divergence between the cash flow timing of a derivative versus an underlying or hedged transaction
B. Liquidity risk	2. Potential divergence between the expected value of a derivative versus an underlying or hedged transaction
C. Counterparty credit risk	3. Potential for a derivatives contract participant to fail to meet their obligations under an agreement

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Solution

1. B is correct. Liquidity risk is the potential divergence between the cash flow timing of a derivative versus an underlying or hedged transaction.
2. A is correct. Basis risk is the potential divergence between the expected value of a derivative versus an underlying or hedged transaction.
3. C is correct. Counterparty credit risk is the potential for a derivatives contract participant to fail to meet their obligations under an agreement.

3. Identify which benefit of derivatives use fits each of the following examples:

A. Price discovery function	1. Equity market participants monitor index futures prior to the market open for an indication of the direction of cash market prices in early trading.
B. Operational advantages	2. An issuer may wish to lock in its future debt costs in advance of the maturity of an outstanding debt issuance.
C. Ability to allocate, transfer, and manage risk	3. Futures contracts in physical commodities eliminate the need to directly transport, insure, and store a physical asset in order to take a position in its underlying price.

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Solution

1. A is correct. Equity market participants monitoring index futures prior to the market open for an indication of the direction of cash market prices in early trading is an example of the derivatives price discovery function.
2. C is correct. An issuer locking in its future debt costs in advance of the maturity of an outstanding debt issuance is an example of the ability to allocate, transfer, and manage risk.
3. B is correct. Futures contracts in physical commodities eliminating the need to directly transport, insure, and store a physical asset in order to take a position in its underlying price is an example of the operational advantages of a derivative.

4. Which of the following hedge accounting designations is appropriate for categorizing a corporate issuer's use of an interest swap converting a floating-rate debt into a fixed-rate debt?

A. Fair value hedge
B. Cash flow hedge
C. Net investment hedge

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Solution:

B is correct. Cash flow hedge treatment is appropriate for instances in which a variable cash flow is converted to a fixed cash flow through the use of a derivative. A is incorrect because a fair value hedge is appropriate accounting treatment for derivative contracts that offset fluctuations in the fair value of the underlying. C is incorrect because a net investment hedge offsets the foreign currency risk of the value of a foreign subsidiary.

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